

declare all overseas holdings. Failure to correctly calculate capital gains or declare overseas assets could invite action under the Black Money Act. Investors should check whether the platform or custody agent they use provides an annual statement that makes filing tax returns easy in the Indian context.

Says Bhutoria: “Many international brokers issue statements on a calendar-year (January-December) basis, while Indian returns need the fiscal year (April-March)—this often means manual recalculation from trade-level/monthly statements rather than relying on the broker’s annual summary.”

Sure, despite the compliance and taxation challenges, international investing is worthwhile.

THREE AVENUES

There are broadly three ways of investing abroad for Indians.

First are Indian mutual funds that invest in overseas mutual funds or ETFs that take exposure to stocks in international markets.

Market regulator Sebi and RBI have set a \$7 billion ceiling, with a separate \$1 billion for ETFs on the amount Indian mutual funds can invest overseas.

Most of these fund of funds are shut for fresh investments, having hit the threshold. Some allow restricted amounts via systematic investment plans (SIPs).

Fresh investments are allowed only if there is a fall in the value of international investments or if investors redeem amounts from the schemes on offer, a start-stop mode that poses an allocation challenge to investors.

The second mode of investing is direct, by buying stocks, bonds, ETFs and mutual funds. Indian platforms and brokerages such as Indmoney, Vested Finance, ICICI Direct, and HDFC Securities allow citizens to invest directly.



“A portfolio invested only in India remains highly dependent on domestic earnings growth, policy environment, currency movement, interest rates and local market cycles”

VAIBHAV SHAH
HEAD—PRODUCTS,
BUSINESS STRATEGY
& INTERNATIONAL BUSINESS,
MIRAE ASSET MUTUAL FUND



“An allocation of between 5% and 10% is ideal for most retail investors for currency diversification and access to themes India doesn’t offer”

RAHUL BHUTORIA
DIRECTOR AND
CO-FOUNDER, VALTRUST

Investors must transfer rupees to a bank that would get converted to US dollars (or the currency used in markets they wish to trade in). When investors sell stocks, ETFs or mutual funds, the proceeds return to them in rupees at the prevailing exchange rate.

The third mode of investing is via Gujarat International Finance Tec-City or GIFT City. In simple terms, it is a jurisdiction (located between Ahmedabad and Gandhinagar) that provides financial services to non-residents and resident Indians in any currency other than the Indian rupee.

All entities in the IFSC are regulated by a unified regulator, the International Financial Services Centres Authority (IFSCA). The IFSCA combines the powers of the RBI, Sebi, Pension Fund Regulatory and Development Authority and Insurance Regulatory and Development Authority of India.

Indian investors can open non-rupee accounts in GIFT City. Most leading Indian public and private sector banks have branches in GIFT City and opening an account is relatively smooth with regular Know Your Customer norms in place. Amounts can be transferred from the domestic account to the GIFT City bank account.

Brokers or platforms such as ICICI Direct, HDFC Securities, Anand Rathi Shares and Stockbrokers, Zerodha Broking, Angel One, Indmoney and Sharekhan have a presence in GIFT City via subsidiaries that offer overseas stocks (American mainly) and derivatives as investment options.

Done well, international investing can be rewarding over the long-term for investors. Like with domestic investments, the time horizon must be five years or more. Uninformed choices and chasing momentum can sting. **BT**